An investor conversation about airline debt

The questions first. The accounting terms second.

1. How much have you borrowed?

Show debt and leases next to shareholders’ book equity. Debt-to-equity of 2x means two dollars of these obligations for every dollar of equity. Debt-to-assets provides another view of the balance sheet.

2. Do your earnings cover the interest?

Interest cover is operating profit divided by gross interest expense. At 3x cover, interest equals one-third of operating profit. If operating profit is negative, there is no positive earnings pool to allocate to interest.

3. Can you meet the actual cash repayments?

Interest is only part of debt service. Add scheduled principal and show lease payments separately. Compare them with cash available over the same period, allowing for essential capital spending and avoiding deductions already in operating cash flow.

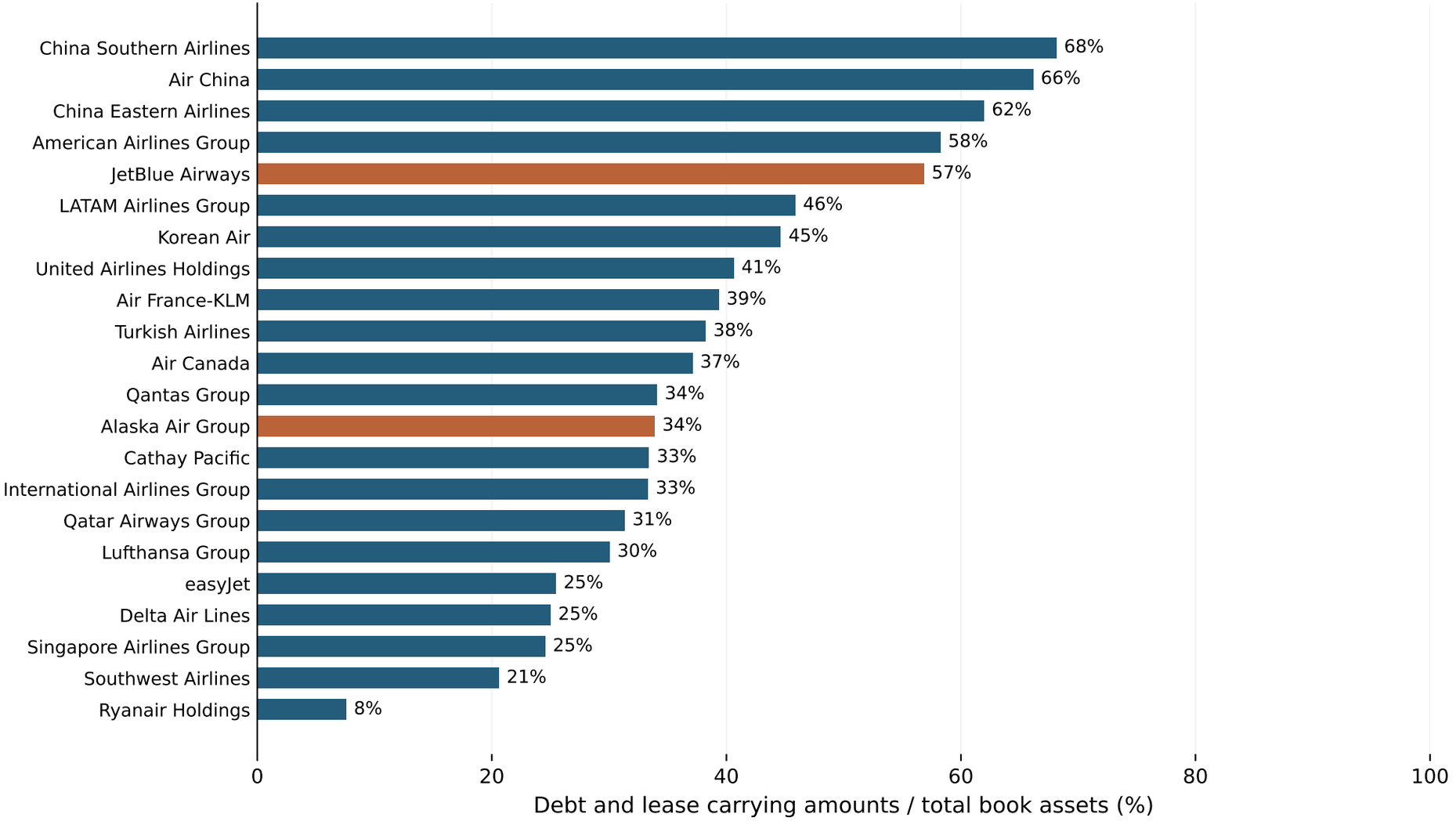
4. What does that mean for risk?

Assess the earnings cushion, available cash, repayment dates, refinancing, covenants and downside exposure together. A leverage ratio is a starting point, not a credit rating. Gearing and leverage describe the same financing question.

Accounting basis: retain each issuer’s US GAAP, IFRS or local accounts. These ratios are defined analysis, not a claim that all airlines have been restated to US GAAP. EBITDA proxies are not the headline measure.

How much of the balance sheet is debt?

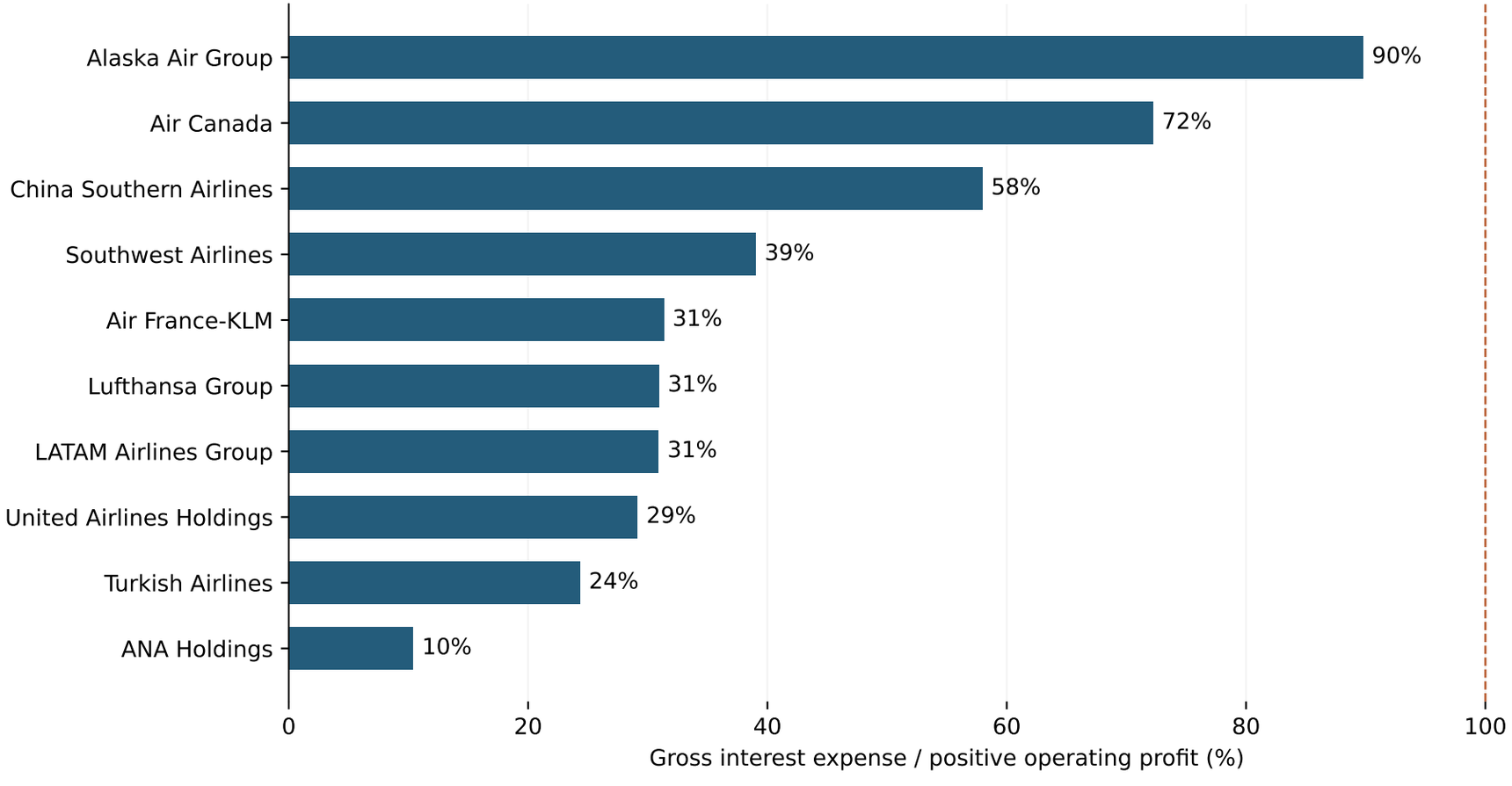
Annual baseline | 22 of 24 groups | debt and leases as a percentage of book assets



The remainder is NOT all equity: suppliers, advance ticket sales and other liabilities also finance assets.
ANA and combined Emirates Group omitted: comparable debt/lease inputs incomplete. Fiscal year ends differ.

How much operating profit goes on interest?

Annual baseline | 10 groups with positive operating profit and extracted gross interest

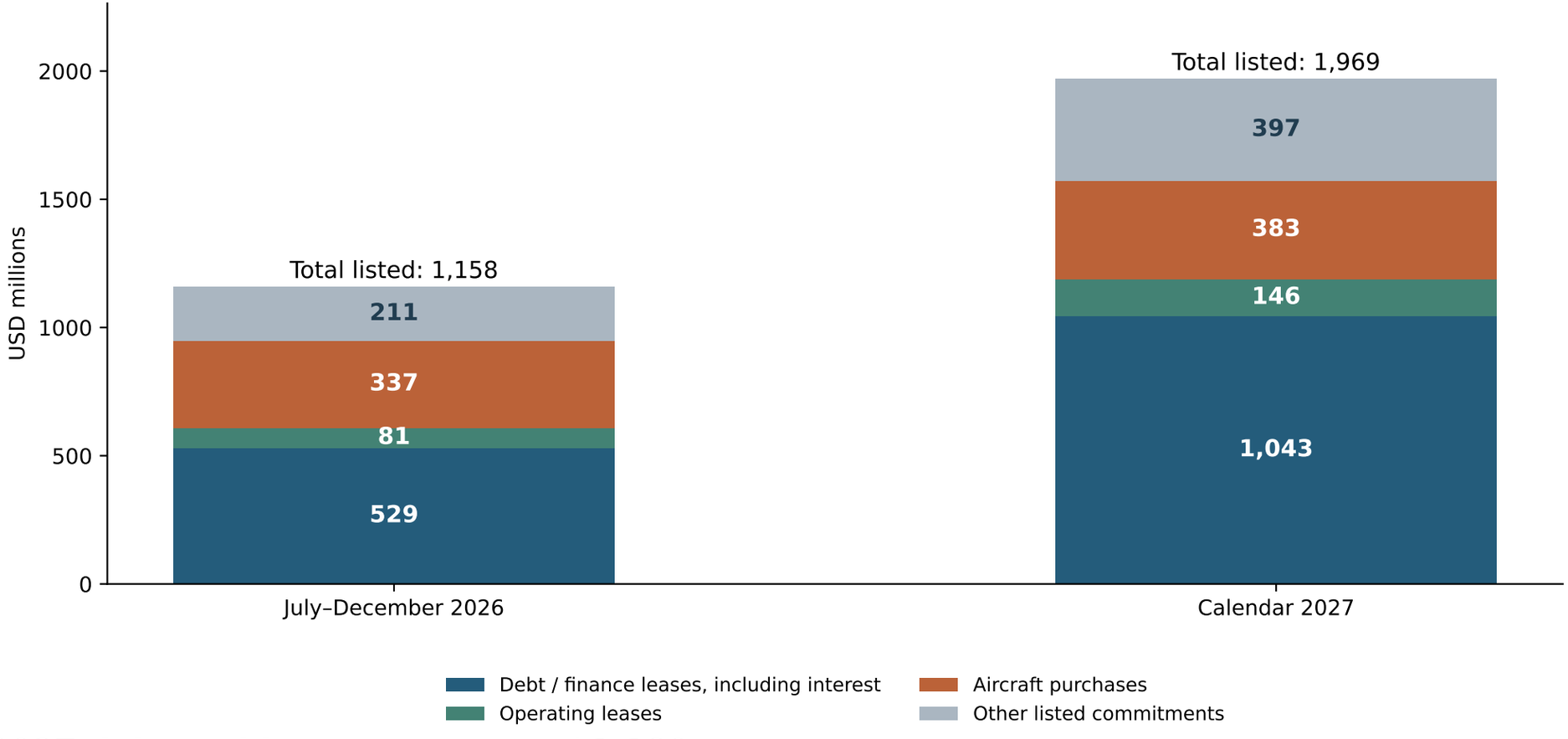


100% means all operating profit is matched by interest expense. This is an earnings comparison, not cash reserved. JetBlue has an operating loss, so a percentage is not meaningful. Thirteen further groups lack compatible inputs.

Principal repayments are excluded here and must be assessed separately. Gross interest is not broad finance costs. Lease-expense presentation differs under US GAAP and IFRS; this familiar ratio is not a fully harmonised ranking.

What cash payments are already committed?

JetBlue | USD millions | contractual schedule disclosed at 30 June 2026



2027 debt and lease payments: $1,189m

This comprises $1,043m of debt/finance-lease payments, including interest, plus $146m of operating leases. Aircraft purchases and other commitments are shown separately. The share covered by available cash is not yet established.

These June forecasts are not the next 12 months from October. Floating interest estimates may change.
Do not add the separate carrying-value maturity schedule: it overlaps these payments. This is not a complete cash budget.

What would we tell an investor today?

Observed pressures from the extracted evidence | no overall credit ratings assigned

JetBlue Airways — Significant funding pressure

2026-06-30 | 5.91x debt / equity | Operating loss: interest not covered

Operating losses, negative operating cash flow and a small book-equity cushion relative to debt and leases. Review refinancing and available liquidity first.

Alaska Air Group — Earnings and funding pressure

2026-09-30 | 2.13x debt / equity | Operating loss: interest not covered

Lower book leverage than JetBlue, but trailing operating earnings no longer cover interest. Nine-month operating cash flow did not cover capital spending. June maturity notes need a September update.

LATAM Airlines Group — Cash generation positive; financing review incomplete

2026-06-30 | Debt ratio withheld pending reconciliation | Gross interest detail incomplete

June operating cash flow exceeded capital spending, before financing-classified interest and lease payments. Debt reconciliation, amortisation and covenant review remain incomplete.

easyJet — Lower book leverage; seasonal and transaction risks

2026-03-31 | 0.82x debt / equity | Gross interest detail incomplete

Debt and leases are below book equity, and trailing operating profit is positive. Winter-half cash flow, reported after dividends, did not cover capital spending. Acquisition financing needs separate review.

Dates and cash-flow classifications differ. Before rating: complete maturities, liquidity restrictions, covenants, collateral and fuel/FX exposure, then build a downside cash forecast. Missing evidence is not a risk rating.